

BUYING CARS, MILLIONAIRE STYLE

How do millionaires go about acquiring motor vehicles? About 81 percent purchase their vehicles. The balance lease. Only 23.5 percent of millionaires own new cars (see [Table 4-1](#)). Most have not purchased a car in the last two years. In fact, 25.2 percent have not purchased a motor vehicle in four or more years.

How much do millionaires pay for these vehicles? The typical millionaire (those in the 50th percentile) paid \$24,800 for his most recent acquisition (see [Table 4-2](#)). Note that 30 percent spent \$19,500 or less.

Also note that the average American buyer of a new motor vehicle paid more than \$21,000 for his most recent acquisition. This is not much less than the \$24,800 paid by millionaires! Moreover, not all of these millionaires purchased new vehicles. How many indicated that their most recent vehicle was used? Nearly 37 percent. In addition, many millionaires indicated that they traded down recently—that is, purchased lower-priced vehicles than they had before.

What is the most that these millionaires ever paid for their motor vehicles? Fifty percent of the millionaires we surveyed never spent more than \$29,000 in their entire lives for a motor vehicle. About one in five, or 20 percent, never spent more than \$19,950. Eighty percent paid \$41,300 or less to acquire their most expensive motor vehicle.

What if we separate out from our sample those millionaires who told us they had inherited their wealth—nearly 14 percent of the millionaires in our sample? The typical wealth inheritor spent in excess of \$36,000 for his most expensive motor vehicle. In sharp contrast, the typical *self-made* millionaire paid much less—approximately \$27,000, or almost \$9,000 less than millionaires who inherited their wealth. Thus, the typical American buyer of a new motor vehicle today spends about 78 percent of what the typical self-made millionaire does for his most expensive motor vehicle.

TABLE 4-1
MOTOR VEHICLES OF MILLIONAIRES: MODEL-YEAR